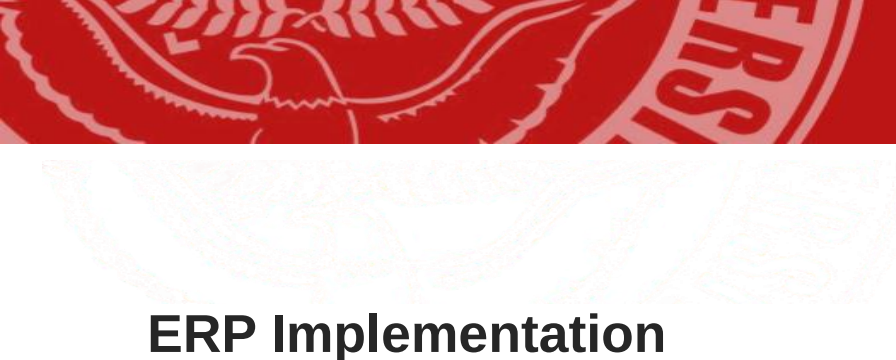




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Introduction to Enterprise Systems for Management

(ERP Implementation and People and Organization)



ERP Implementation

- ✓ ERP systems are continuously changing and evolving to provide the organization with a new way of looking at business processes and decision making.
- ✓ Organizations are also continuously changing to match their environments.
- ✓ System implementations are generally very complex, time consuming, and resource intensive.

Business Process Management

- ✓ Business process management is the understanding, visibility, and control of business processes. A business process represents a discrete series of activities or tasks that can span people, applications, business activities, and organizations.

ERP Life Cycle

- ✓ ERP implementation is not a onetime implementation. It requires a continuous cycle of product release and support.

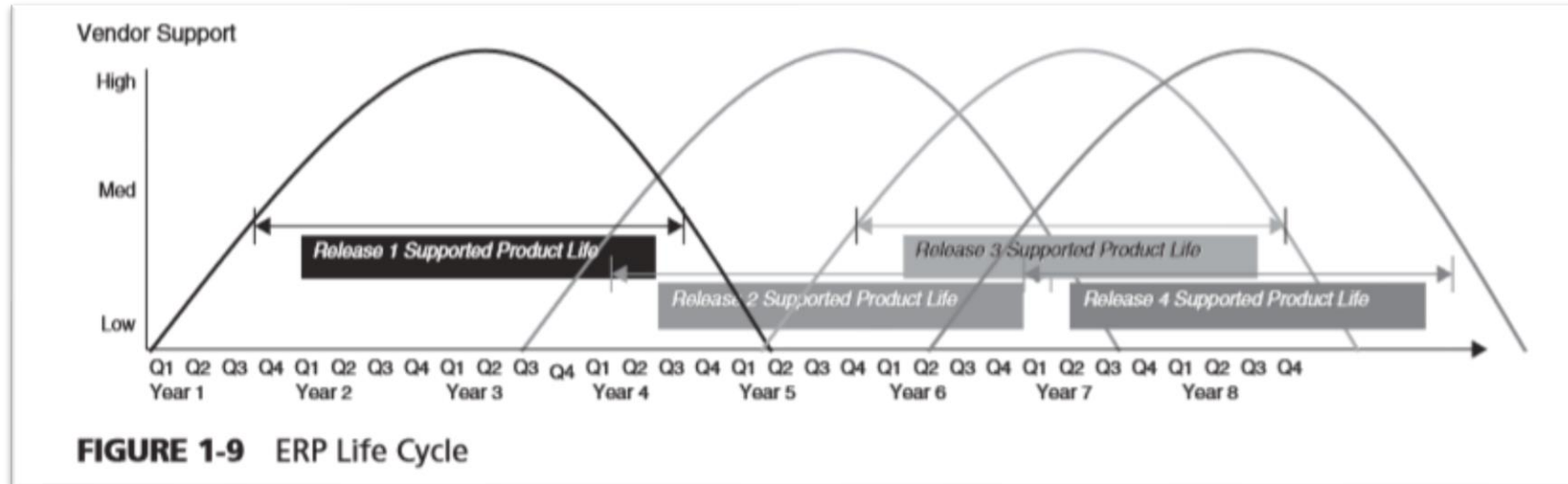
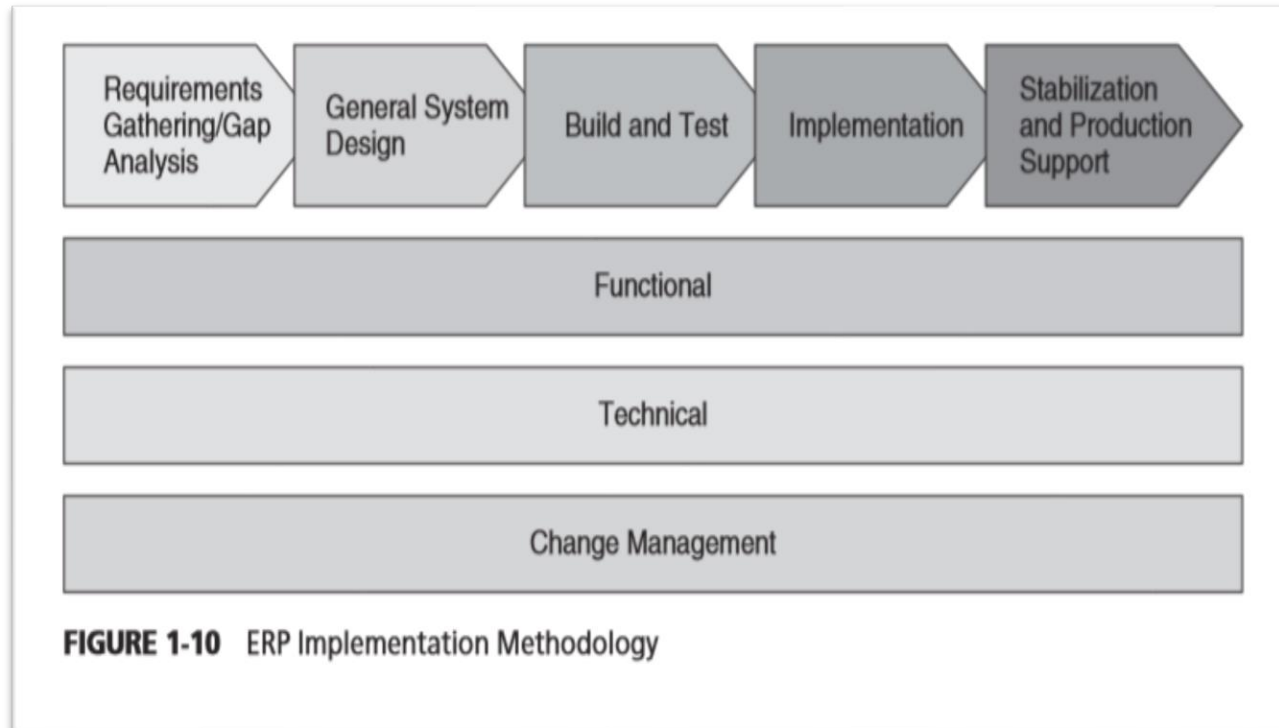


Figure 1-9 ERP Life Cycle

NOTE: There should also be clear and well-defined business objectives written and communicated to the organization. The project methodology needs to be documented, reviewed, and fully understood by everyone involved in the project once objectives are outlined.

ERP implementation methodology in which there are five phases of the life cycle



1. Requirements Gathering
2. General System Design
3. Build and Test
4. Implementation
5. Stabilization and Production Support

Figure 1-9 ERP Life Cycle



Software and Vendor Selection

- ✓ Before selecting a vendor, the organization must carefully evaluate its current and future needs in enterprise management systems. This needs assessment can begin very simply by looking at the size of the organization in terms of the number of employees that will be accessing the ERP applications.
- ✓ The assessment must look at the industry that the organization belongs to and the functional areas that the ERP application will be supporting. It must review the organization's existing hardware, network, and software infrastructure and, finally, the resources (i.e., money and people commitment) available for the implementation.



Software and Vendor Selection (cont....)

**In selection of vendors we need to evaluate
first the following:**

1. Business functions or modules supported by their software
2. Features and integration capabilities of the software
3. Financial viability of the vendor as well as length of time they have been in business
4. Licensing and upgrade policies
5. Customer service and help desk support
6. Total cost of ownership
7. IT infrastructure requirements
8. Third-party software integration
9. Legacy systems support and integration
10. Consulting and training services
11. Future goals and plans for the short and long term



Operation and Post-Implementation

- ✓ **Going live (“Go-live”)** is one of the most critical points in a project’s success. A lot of time and resources have been spent to get to this point. In assessing an ERP project’s readiness for Go-live, it is vital to focus the efforts of the teams to ensure that task and activities are completed before going live.

Five areas of stabilization are important:

1. Training for end users
2. Reactive support (i.e., help desk for troubleshooting)
3. Auditing support to make sure data quality is not compromised by new system
4. Data fix to resolve data migration and errors that are revealed by audits
5. New features and functionalities to support the evolving needs of the organization

People and Organization

- ✓ Project Management is the glue that holds the project together. **Project management** must also follow a process that leads to sound decision making and creates a high level of trust and accountability with all involved in the implementation.
- ✓ **Project manager** is one of the most exciting yet risky jobs in an implementation. A successful project manager must be **process driven** and **understand the value of an implementation methodology**.

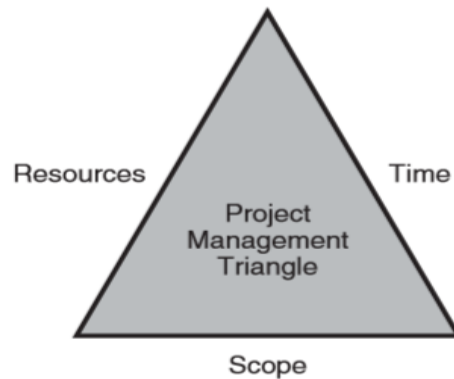


FIGURE 1-12 Project Management

Figure 1-12 depicts the fundamental balance of project management. Any change to one side of the triangle will require a change to one or more sides.

NOTE: A key component to project management is to understand and communicate the ERP system application management life cycle.

Role of Consultants

- ✓ ERP systems implementations are **high risk**. It is critical to assess and understand the organization's capacity for implementing such a complex system. The costs of failure are great, and the number of failures is much too high. The development of a credible **implementation plan**, **budget estimates**, and **deadlines** is critical to a project's success.

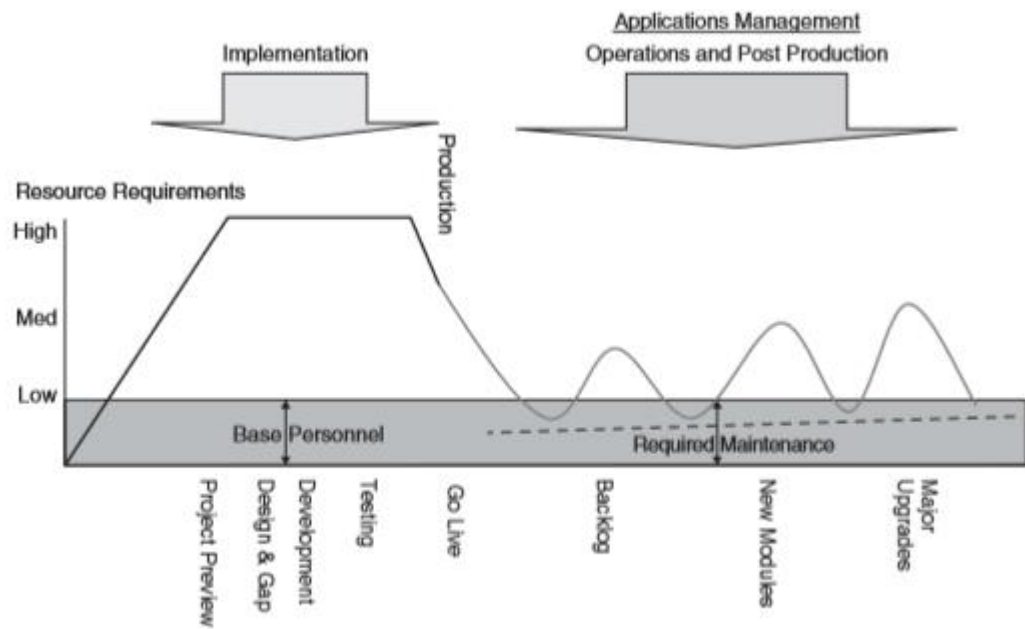


FIGURE 1-13 Project Life Cycle

Before trying to implement a major ERP system, organizations must assess their ability to be successful.



Business Process Reengineering

- ✓ It is often the case that current business processes will need to be changed to use the functionality of an ERP system fully. It is best to make it clear to clients and users that processes will need to be changed, adjusted, or adapted as the ERP system is implemented. A business process is a group of activities or tasks that are coordinated for achieving a business goal.



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